

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-23

SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

HMM CO., LTD F/K/A HYUNDAI MERCHANT MARINE, CO.
LTD.,

RESPONDENT.

COMPLAINANT’S MOTION TO DISMISS
RESPONDENT’S COUNTERCLAIM

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, respectfully submits this Motion to Dismiss the counterclaim of Respondent HMM Co., Ltd., F/K/A Hyundai Merchant Marine, Co. Ltd. (“HMM” or “Respondent”) as the counterclaim fails to allege facts sufficient to support the jurisdiction of the Federal Maritime Commission (the “Commission”) over the counterclaim and fails to allege facts sufficient to establish a claim under 46 U.S.C. § 41102(a).

PRELIMINARY STATEMENT

The allegations in HMM’s counterclaim, and the arguments in SEA’s motion to dismiss, will be familiar to Your Honor as You recently ruled on substantially similar allegations and grounds in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Limited and*

OOCL (Europe) Ltd., Dkt. No. 24-17 (the “SEA / OOCL Matter”). Your Honor issued an Order Granting Complainant's Motion to Dismiss Respondent's Counterclaim (March 31, 2025) in the SEA / OOCL Matter which dismissed OOCL’s counterclaim with prejudice. It is also public record that OOCL filed an appeal to the March 31 Order in the SEA / OOCL Matter on April 16, 2025, under 46 C.F.R. 502.227(b)(1).

That appeal does not negate the March 31 Order in the SEA / OOCL Matter. That is, the March 31 Order is not an initial decision that would be rendered “inoperative” pending the Commission’s decision thereof under 46 C.F.R. 502.227(a)(5). There is no “inoperative” corollary for appeals under 46 C.F.R. 502.227(b) as there are for exceptions to initial decisions under 46 C.F.R. § 502.227(a). As such, the Presiding Officer can rely and/or adopt the reasoning from the March 31 Order when considering the motion to dismiss herein.

In the Argument section of this Brief, SEA does not repeat the legal rulings by Your Honor in the March 31 Order and rest its case. SEA dutifully reviews the counterclaim factual and legal bases and challenges the sufficiency on each ground so that the record in this proceeding is clear.¹ Ultimately, SEA submits the same result should be reached in this matter; dismissal of the HMM counterclaim with prejudice.

PROCEDURAL POSTURE

On June 5, 2024, Complainant filed its Verified Complaint (Document No. 01) against HMM asserting that Respondent, as an ocean common carrier subject to the Commission’s jurisdiction, had engaged in a pattern of conduct in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* (the “Shipping Act”). Respondent filed a Motion to Dismiss the Complaint (Doc. No. 12) on July 1, 2024, which was denied in part and granted in part on March 24, 2025.

¹ The same law firm represents the respondents in the SEA / OOCL matter and this matter.

(Doc. No. 16). Pursuant to this tribunal's March 24, 2025 ruling, Complainant filed its Verified Amended Complaint on April 3, 2025 (Document No. 17). On April 14, 2025, Respondent filed its Verified Answer to the Amended Complaint and included a Counterclaim against SEA, alleging violation of 46 U.S.C. § 41102(a) (the "Counterclaim").

Section 41102(a), titled "Obtaining Transportation at Less Than Applicable Rates," provides that:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

46 U.S.C. § 41102(a).

In its essence, HMM's counterclaim alleges that, by serving a pre-litigation demand and filing a complaint with the Commission alleging that HMM's assessment of detention and demurrage was a violation of the Shipping Act and asserting its right to reparations, SEA has "knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act." HMM Counterclaim, ¶ 66.

However, HMM has failed to plead sufficient factual allegations to support its counterclaim with respect to any of the elements that constitute a Section 41102(a) claim. The counterclaim does not allege any facts that SEA attempted, either successfully or otherwise, to obtain ocean transportation, or that any such attempts were by any cognizably false, unjust, or unfair means, or that any such attempts were conducted knowingly and/or willfully, directly or indirectly. Moreover, SEA's litigation and pre-litigation activity is precisely the type of activity that is immunized by the *Noerr-Pennington* doctrine. In short, Respondent has utterly failed to state a claim upon which relief can be granted, and the counterclaim should be dismissed.

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for Motions to Dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules to the extent that the application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

"In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rule of Civil Procedure 12(b)(6) and the federal caselaw interpreting it." *Cornell v. Princess Cruise Lines, Ltd.*, FMC Dkt. No. 13-02, 2014 WL 5316340 at *6 (FMC Aug. 28, 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008 at *11 (FMC, Aug. 1, 2011)); *see also MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 6445041 at *5 (FMC, Oct. 29, 2020) (stating that the Commission looks to Rule 12(b)(6) when considering dismissals for failure to state a claim). The Commission ruled in *Mitsui* that:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). ... The complaint must be sufficient to "give the defendant fair notice of what the ... claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, Federal Practice & Procedure Civ. §1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui, 2011 WL 7144008 at *12. Thus, a "pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do.'" *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (citing *Twombly*, 550 U.S. at 555). And "[t]he Commission need not ... accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint.

Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.” *Cornell*, 2014 WL 5316340 at *7 (internal quotation marks and citation omitted).

Further, heightened pleading requirements apply to any claim alleging fraudulent conduct, as in the case of a claim alleging unjust or unfair devices under 46 U.S.C. § 41102(a). While Rule 62(a)(3)(iii) of the Commission’s Rules is similar to FRCP 8’s requirement for a “short and plain statement of the claim showing the pleader is entitled to relief,” the Commission has no specific rule regarding allegations of fraud or mistake. Accordingly, pursuant to Rule 12 of the Commission’s Rules, on a motion to dismiss a pleading, the Commission must refer to FRCP 9(b), which establishes a heightened pleading standard for claims involving fraud. 35 C.F.R. § § 502.12 (“for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure *will* be followed to the extent that they are consistent with sound administrative practice.”) (emphasis added). In any case, federal courts have treated FRCP 12(b)(6) as inherently tied to the federal pleading rules, and as such, FRCP 12(b)(6) should be read in conjunction with FRCP 9(b). *See e.g., Zixiang Li v. Kerry*, 710 F.3d 995, 998 (9th Cir. 2013) (court noting that 12(b)(6) is read “in conjunction with” the pleading rules); *Griggs v. Ameriquest Mortg. Co.*, No. 1:06-CV-3147, 2007 WL 9703155, at *2 (N.D. Ga. Apr. 25, 2007) (“the legal sufficiency of a complaint under Rule 12(b)(6) is determined by whether the complaint states a claim upon which relief can be granted in light of the pleading requirements of Rules 8 and 9...”). As such the heightened pleading requirements of FRCP 9(b) are part and parcel of FRCP 12(b)(6) analysis.

FRCP 9(b) provides that “[i]n alleging fraud or mistake, a party must state with particularity the circumstances constituting fraud or mistake.” The purpose of requiring particularity with respect to fraud claims is (1) to provide the defendant with fair notice of the plaintiff’s claim, (2) to safeguard a defendant’s reputation from improvident charges of

wrongdoing, and (3) to protect a defendant against the institution of a strike suit. *Wood ex rel. U.S. v. Applied Research Assocs., Inc.*, 328 Fed. Appx. 744, 747 (2d. Cir. 2009); *see also Harrison v. Westinghouse Savannah River Co.*, 176 F.3d 776, 784 (4th Cir. 1999) (citation omitted). Thus, claims involving such allegations must meet an “elevated pleading standard.” *Ashcroft v. Iqbal*, 556 U.S. 662, 686–87 (2009).

Notably, the application of FRCP 9(b) is “not limited to allegations styled or denominated as fraud or expressed in terms of the constituent elements of a fraud cause of action,” and applies so long as the claims themselves are premised on allegations of fraud, or “sound in fraud.” *Rombach v. Chang*, 355 F.3d 164, 171 (2nd Cir. 2004). *See also Vess v. Ciba-Geigy Corp. USA*, 317 F.3d 1097, 1103 (9th Cir. 2003); *Lone Star Ladies Inv. Club v. Schlotzsky’s Inc.*, 238 F.3d 363, 368-9 (5th Cir. 2001) (“Rule 9(b) applies by its plain language to all averments of fraud, whether they are part of a claim of fraud or not.”); *SEC v. Binance Holdings Limited*, 738 F.Supp.3d 20, 37 (D.D.C. 2024) (court noting that “[t]he majority of circuits” apply FRCP 9(b) where a claim “sounds in fraud”); *MSP Recovery Claims, Series LLC v. Pfizer, Inc.*, No. 22-cv-01419, 2025 WL 689180 (D.D.C. Mar. 4, 2025) (“[t]he Court is persuaded by the analysis of numerous circuit and district courts that have held that a plaintiff must state with particularity the circumstances of the fraud when fraudulent actions form the basis of a claim.”).

This elevated pleading standard means that claims that include an element of fraud are subject to more stringent review on motions to dismiss. To satisfy Rule 9(b), “the plaintiff must allege (1) ‘the time, place, and content of the alleged misrepresentation,’ (2) ‘the fraudulent scheme,’ (3) the defendant's fraudulent intent, and (4) the resulting injury.” *Smith v. Gen. Motors LLC*, 988 F.3d 873, 883 (6th Cir. 2021) (*quoting Wall v. Michigan Rental*, 852 F.3d 492, 496 (6th Cir. 2017)); *see also Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997) (requiring a plaintiff

making a fraud claim to allege the “who, what, where, when, and how” of the alleged misconduct). One of the primary objectives of Rule 9(b)’s particularity requirement is to ensure that defendants receive “fair notice of [a] plaintiff’s claim, to enable preparation of [a] defense[.]” *DiVittorio v. Equidyne Extractive Indus., Inc.*, 822 F.2d 1242, 1247 (2d Cir. 1987). “Bare-bones allegations” therefore do not suffice. *Lundy v. Cath. Health Sys. of Long Island Inc.*, 711 F.3d 106, 119 (2d Cir. 2013).

ARGUMENT

HMM’s counterclaim fails to allege sufficient facts to state a claim against SEA for violation of Section 41102(a) of the Shipping Act.

To plead a violation of Section 41102(a) (previously known as section 10(a)(1)),² a claimant must plead facts supporting three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;” (3) the party obtained or attempted to obtain ocean transportation at lesser rates. *OC Int’l Freight, Inc.*, FMC Dkt. No. 12-01, 2014 WL 5316336, at *4, (FMC July 31, 2014). HMM fails to adequately plead any of those elements.

I. HMM DOES NOT ALLEGE KNOWING AND WILLFUL CONDUCT BY SEA

Section 41102(a)’s first element--knowing and willful conduct--is established if the party had knowledge of the facts of the violation and acted either intentionally or with reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence. Conduct is knowing and willful if it was carried out purposely or obstinately, or with gross recklessness, heedlessness, or a callous disregard for the consequences or plain indifference to the law’s

² The Federal Maritime Commission issued a rule on October 1, 2009 recodifying the Shipping Act of 1984 (74 FR 50713) in which Section 10(a)(1) was redesignated 46 U.S.C. § 41102(a). Older Commission decisions reference the original section number in the Shipping Act.

requirements. *Rana v. Michelle Franklin, d.b.a. “The Right Move”*, 5 F.M.C.2d 7, 19-20 (FMC May 25, 2022) (citations omitted).

Here, HMM does not allege any knowing or willful conduct by SEA in connection with SEA obtaining or attempting to obtain ocean transportation from HMM at all, regardless of rate level. HMM’s allegations that bear on this element are that SEA was named as an Affiliate of Samsung Logitech on Service Contracts (HMM Counterclaim, ¶ 6), that SEA was a consignee for shipments (*id.*, ¶ 29) in connection with which SEA received invoices for charges incurred in the United States (*id.* at ¶ 32), and that charges incurred by SEA were for detention and demurrage (*id.* at ¶¶ 32, 38-41, 44, 54-55, 60-64). However, HMM does not allege that SEA signed any contracts. (HMM Counterclaim, ¶ 11). HMM moreover does not allege that SEA was a shipper or owner of shipments.³ HMM also does not allege that SEA failed to pay its invoices. On this basis alone, HMM’s counterclaim must be dismissed.

HMM’s vague “upon information and belief” allegations that “Samsung Electronics”, SDS, Logitech and SEA “operate as part of an integrated business structure wherein these entities all work together to ship merchandise to SEA for eventual sale” similarly fail to plead a violation of §41102(a). (HMM Counterclaim, ¶ 9-10). Importantly, HMM does not bother to plead what is meant by an “integrated business structure” except that it is defined in such a way so as to nakedly assert that SEA somehow was involved in “shipping merchandise to SEA” (i.e., obtaining or attempting to obtain ocean transportation). As HMM provides no explanation or detail as to what it means by “integrated business structure” or how it understood SEA to be part of one,

³ While HMM suggests that a “shipper” under the Service Contract is an “Owner of the cargo” (HMM Counterclaim, ¶ 15), HMM does not identify SEA as a “shipper” under the Service Contract – only that “shippers and/or consignees” are bound in some way by the Service Contract. (HMM Counterclaim, ¶¶ 13-15).

HMM's allegation is nothing more than a conclusory allegation of one of the elements of the statute, thinly veiled in vague terminology. *See e.g. Spagnola v. Chubb Corp.*, 264 F.R.D. 76 (S.D.N.Y. 2010) (court noting "the law recognizes that corporations may be organized in ways to limit liability among separate corporate entities ... thus a parent company is not automatically liable for the acts of a wholly-owned subsidiary," and noting the substantial pleading requirements for alleging liability under agency theory.) Such conclusory allegations are wholly insufficient.

II. HMM DOES NOT ADEQUATELY ALLEGE FALSE OR FRAUDULENT CONDUCT BY SEA, A NECESSARY ELEMENT OF ITS SECTION 41102(a) CLAIM

1. HMM Fails to Plead Particularized Factual Allegations

The second element of a Section 41102(a) claim requires factual allegations that the subject party used false billing, classification, measurements or report thereof, or any other unjust or unfair device or means to obtain ocean transportation at less than otherwise applicable rates. *Rana*, 5 F.M.C.2d at 20 (citations omitted). HMM's counterclaim contains no allegation of false billing, false classification, or false measurement or reporting of cargo by SEA. Instead, HMM merely makes the conclusory allegation that SEA employed an "unjust or unfair device or means." HMM Counterclaim, ¶ 66.

Under the Commission's regulatory interpretation of "unjust or unfair device or means" in connection with Section 41102(a), to make a sufficient allegation of "unjust or unfair device or means," a complainant must provide factual allegations establishing some element of fraud, concealment, or deceit. *Rana*, 5 F.M.C.2d at 20-21 ("To establish a violation of section 41102(a), 'fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means.'") (quoting *U.S. v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984)); *see also SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, at

*10 (ALJ Apr. 15, 2024) (same) *and* 46 CFR § 545.2 (Commission’s regulatory guidance requiring “evidence of bad faith or deceit” for the Commission to infer an “unjust or unfair device”).

2. *Heightened Pleading Requirements Under FRCP 9(b) Apply to HMM’s Claim*

With respect to motions to dismiss, because HMM’s Section 41102(a) claim requires an element of fraud or concealment, HMM is subject to Federal Rule of Civil Procedure 9(b)’s heightened pleading standard regarding the circumstances of the alleged fraud or concealment. Where a claim, whatever its title, “sounds in fraud,” meaning it is premised upon a course of fraudulent conduct, courts uniformly require plaintiffs to meet Rule 9(b)’s heightened pleading requirements. *See, e.g., Kolominsky v. Root, Inc.*, 100 F.4th 675, 683-684 (6th Cir. 2024) (applying Rule 9(b) to Securities Act of 1933 claim where the claims were grounded in materially false and misleading statements and omissions, thus requiring the FRCP 9(b) pleading standard); *In re BP Lubricants USA Inc.*, 637 F.3d 1307 (Fed. Cir. 2011) (applying Rule 9(b) to False Marking Statute claim based on alleged use of expired patent marking); *Rombach v. Chang*, 355 F.3d 164 (2d Cir. 2004) (requiring pleadings to meet the standard of Rule 9(b) when premised on allegations of fraud).

To meet the FRCP 9(b) standard, “a complaint must ‘(1) specify the statements that the plaintiff contends were fraudulent, (2) identify the speaker, (3) state where and when the statements were made, and (4) explain why the statements were fraudulent’.” *Wood ex rel. U.S.*, 328 Fed. Appx. at 747. In other words, to state its claim under § 41102(a), HMM must allege the “who, what, where, when, and how” of the alleged misconduct. *Cooper v. Pickett*, 137 F.3d 616, 627 (9th Cir. 1997). HMM has not done so.

Indeed, HMM does not allege fraudulent actions or false statements by SEA in its counterclaim, much less where and when any such actions or statements were made, or how any

such actions or statements would be fraudulent. Thus, the counterclaim falls far short of the FRCP 9(b) pleading standard.

HMM does allege that SEA “concealed its understanding of the Service Contracts and intent to dispute all detention and demurrage accrued according to the terms of the Service Contracts until after HMM had fully performed its obligations under same.” (HMM Counterclaim, ¶ 44). However, HMM does not *explain* how these actions are actually a form of concealment, as understood in § 41102(a), or are otherwise fraudulent. HMM does not allege that SEA was obligated to raise its dispute at an earlier time through HMM’s demurrage and detention dispute process in order to resolve its claims. Nor does HMM allege that it had a right (under a contract or otherwise) to “work with SEA to modify the Service Contracts and proactively address SEA’s understanding of the Service Contracts’ terms; [seek] clarification about SEA’s obligations under the Service Contracts, and/or [seek] remedies under the Service Contract.” (HMM Counterclaim, ¶ 43).

In any case, HMM’s nominal allegation of “concealment” is flatly different in kind from the type of concealment highlighted in case law, such as a party’s seeking payment under a false classification, and concealing the false classification, in order to secure a reduced rate. *See Hohenberg Bros. Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963) (cotton shipper seeking rebate under a knowingly incorrect rate for cotton bales). In contrast with *Hohenberg*, HMM does not even allege how SEA’s purported “concealment” was a *means* by which it obtained or tried to obtain lower rates, especially as SEA then brought its case before the Commission for *inter alia* reparations to be made whole for the payment of demurrage and detention charges that were the responsibility of HMM to be paid in light of its wrongful actions in the handling and delivery of SEA cargo.

In the absence of any explanation, HMM cannot state how SEA's behavior was fraudulent as required under FRCP 9(b).

3. *HMM's Allegations Fail to Meet the Commission's Pleading Standard*

Even if the Presiding Officer were to ignore the heightened pleading standard required under FRCP 9(b), HMM's counterclaim still fails to meet even the Commission's general pleading standard under the Commission's Rule 62(a)(3)(iii), as its allegations do not inform SEA with reasonable definiteness of the acts or practices alleged to be in violation of Section 41102(a).

The substance of HMM's allegation that SEA engaged in some "unfair and unjust device" to obtain ocean transportation at rates lower than those that would typically apply is that SEA: (1) paid all detention and demurrage charges that it was assessed by HMM and did not immediately dispute such charges; (2) demanded refunds of charges it contends were unlawfully imposed upon it, after HMM had fully performed under its contracts; (3) demanded that HMM waive future charges that it views as unlawful but HMM contends would be lawful; and (4) filed a Verified Complaint with the Commission on May 30, 2024. *See* HMM Counterclaim, ¶ 42. But at no point does HMM allege how SEA's exercise of its right to seek reparations under the Shipping Act is "unjust, unfair," or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates.

HMM points to SEA's early demand letter, in which SEA clearly communicated its right to and demand of reparations. However, much like the response letter written by Respondents in *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2024 WL 1741926, at *10 (ALJ Apr. 15, 2024), such information was openly communicated to HMM and cannot plausibly be alleged to be fraud or concealment.

HMM also points to SEA's waiting until October 22, 2023 to dispute detention and demurrage charges through its early demand letter, referring to it as "concealment." However, HMM does not allege how this was "unjust, unfair," or otherwise an unlawful attempt to obtain ocean transportation at lower than standard rates either. Nor does HMM's allegation reveal "evidence of bad faith or deceit" as required for the Commission to infer an "unjust, unfair device" as outlined in the Commission's regulatory guidance for Section 41102(a). *See* 46 CFR § 545.2.

4. Legal Proceedings Cannot Constitute Unfair or Unjust Devices

In a prior legal proceeding before the Commission involving SEA, a claim that the initiation of complaint proceedings somehow constituted an unfair or unjust means of obtaining ocean transportation at less than the rates or charges that would otherwise apply was readily found insufficient to satisfy the pleading requirements for counterclaims, crossclaims, and third-party complaints under 46 U.S.C § 502.62(b)(4).

Specifically, in *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, pg 3, *Order Denying Motion for Leave to File Third Party Complaint* (Jan. 31, 2024), Your Honor held as follows:

Count II of the proposed third-party complaint alleges a violation of § 41102(a), which prohibits a person from knowingly and willfully obtaining ocean transportation at less than the rates or charges that would otherwise apply by means of false billing, classification, weighing, measurement, "or any other unjust or unfair means." 46 U.S.C. § 41102(a). Count II...argues...that SEA's complaint in this case is an unjust or unfair means of obtaining ocean transportation at less than the applicable rate. ...[N]o authority has been cited for the unlikely proposition that a complaint alleging a Shipping Act violation – one found to be meritorious, as it would have to be for SEA and third-party respondents to success [sic] in their alleged "scheme" – is itself a violation of § 41102(a). Count II similarly does not satisfy the requirements of Rule 62(b)(4).

As with the argument brought by Respondent SM Line in that matter, HMM's claim here that the public filing of a Shipping Act complaint be deemed an "unjust or unfair device or means"

to achieve lower ocean transportation shipping rates, is unsupported, unlikely, and insufficient. Accordingly, HMM's counterclaim under Section 41102(a) must necessarily be dismissed.

III. HMM FAILS TO ALLEGE THE ELEMENT OF OCEAN TRANSPORTATION

While the foregoing is more than sufficient to dismiss the counterclaim, HMM has also failed to allege that SEA obtained or tried to obtain ocean transportation for less than the rates or charges that would normally apply.

Specifically, HMM has not alleged that SEA shipped any cargo overseas, that SEA generated any bills of lading, that SEA was the owner of any cargo, that SEA obtained or attempted to obtain any ocean transportation, what rates should have been paid by SEA in connection with any cargo, or that SEA paid actual rates lower than such rates. Indeed, HMM fails to make any allegation sufficient to support its counterclaim, all of which would be required to state a cognizable claim under § 41102(a). *See, e.g., Dukart v. Ocean Star Int'l Inc. dba Int'l Van Lines*, 2 F.M.C.2d 118, 128 (ALJ July 10, 2020).

Rather, HMM concedes that SEA was the cargo consignee. Moreover, while HMM appears to believe it alleges that SEA was an owner of cargo (HMM Counterclaim, at ¶ 52), HMM does not actually allege this. (*See* HMM Counterclaim, at ¶ 13-15) (HMM identifying SEA as an "Affiliate" of Samsung Logitech under Term 009, identifying every shipper as an owner of cargo under Term 10, but failing to allege that all Affiliates are shippers). HMM also concedes that SEA incurred detention and demurrage charges in connection with the receipt of the cargo (*id.* at ¶¶ 32, 38-41, 44, 54-55, 60-64), and that HMM blames SEA and unnamed trucking companies for incurring those charges (*id.* at ¶¶ 41, 54-66). Beyond the formulaic, conclusory recitation of Section 41102(a) in paragraph 66 of its Counterclaim, at no point does HMM make any allegation that SEA attempted to obtain, or actually obtained, any ocean transportation; nor does HMM

describe any manner in which SEA would be deemed to have done so, except by way of its thinly veiled “integrated business structure” claim.

The obvious lack of factual allegations supporting its claim that SEA violated Section 41102(a) by “knowingly and willfully, directly or indirectly, by... unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply” is fatal to HMM’s counterclaim. Simply put, HMM’s counterclaim lacks sufficient factual allegations to state any plausible claim under 46 U.S.C. § 41102(a).

IV. HMM’S COUNTERCLAIM IS BARRED BY THE *NOERR-PENNINGTON* DOCTRINE

HMM’s counterclaim fails for a separate and independent reason under the so-called “*Noerr-Pennington* doctrine.” HMM alleges that “[i]n demanding refunds of charges ... and bringing legal proceedings against HMM and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has knowingly and willfully engaged in an unjust or unfair device or means to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” HMM Counterclaim, ¶ 66. But such conduct is protected by the *Noerr-Pennington* doctrine. In *Sosa v. DIRECTV, Inc.* – ironically relied upon by HMM in its unsuccessful motion to dismiss SEA’s complaint – the Ninth Circuit stated that “in the litigation context, not only petitions sent directly to the court in the course of litigation, but also ‘conduct incidental to the prosecution of the suit’ is protected by the *Noerr-Pennington* doctrine.” 437 F.3d 923, 934-35 (9th Cir. 2006). The Ninth Circuit further cautioned that “[u]nder the *Noerr-Pennington* rule of statutory construction, we must construe federal statutes so as to avoid burdening conduct that implicates the protections afforded by the Petition Clause unless the statute

clearly provides otherwise.” *Id.* Other courts have routinely immunized litigation and threatened litigation under this doctrine. *See, e.g., Primetime 24 Joint Venture v. Nat’l Broadcasting Co.*, 219 F.3d 92 (2d Cir. 2000) (pre-suit challenges to signal strength determinations by satellite broadcasters within *Noerr-Pennington* doctrine’s protections). And “[t]his immunity extends to persons who petition all types of government entities — legislatures, administrative agencies, and courts.” *Cheminor Drugs, Ltd. v. Ethyl Corp.*, 168 F.3d 119, 122 (3d Cir. 1999). Thus, the alleged SEA conduct cited by HMM as the basis for its Section 41102(a) counterclaim – which includes the mailing of presuit demand letters – is *precisely* the type of litigation-related activity that is protected by the *Noerr-Pennington* doctrine. HMM’s counterclaim must therefore be dismissed as an improper impingement upon SEA’s Petition Clause protections.

CONCLUSION

As shown above, HMM’s counterclaim is plainly frivolous based on FMC precedents and the flimsiness of its allegations. The only possible reason for burdening this tribunal and SEA with such an obviously meritless counterclaim is as an improper tactic to delay this litigation and drive up the costs of the proceeding for SEA, all contrary to the Commission’s Rules and precedents.

Accordingly, pursuant to 46 C.F.R. §§ 502.69, 502.70, and 502.254, Complainant SEA respectfully moves for an Order: dismissing with prejudice HMM’s counterclaim in its entirety; and striking Respondent’s prayer for a cease-and-desist order and request for attorney fees; and further requests that the Order grant SEA its attorneys’ fees in connection with this Motion to Dismiss; and grant all such other and further relief as may be just and proper.

Dated: May 9, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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